
Access to everything. Now 30% off. [Upgrade now](#)

Do you know the success story of Zoho, a bootstrapped startup?

7 min read · Jan 17, 2024



Tanya Agarwal

Follow



Listen



Share

... More

A bootstrapped company founded in a remote village in India crossed Billions in revenue. The underdog story of Sridhar Vembu & how he built Zoho:



Bootstrapping is the process of starting and running a business with only personal funds or operating revenue.

Zoho Corporation is a multinational technology company headquartered in India that develops computer software and web-based business tools. It was founded by

Sridhar Vembu and Tony Thomas in 1996. It is most well-known for its online office package, the Zoho Office package. It now has a presence with offices across the globe. It is headquartered in Austin, Texas with international headquarters in Chennai, India, with offices across the globe. Sridhar Vembu's sister, Radha Vembu, owns the majority of the business and today Zoho offers over 55+ software products. Zoho's tagline is "Made in India. Made for the world".

Zoho Startup Story

1996	Sridhar Vembu his brothers and Tony started AdventNet	They created their first product Web NMS
2000	Earns a revenue of \$10 million	Sridhar was named CEO of the business
2001	Expanded their operation in Japan	Sales drop due to bubble burst
2002	WebNMS Product reached market saturation	Launched Managed Engine
2005	Launched many other products including Zoho HRM	Zoho schools were established
2009	AdventNet changed it's name to Zoho	Continue their R&D for new products
2023	Zoho has 12000+ employees	80M+ users and 55+ products

Sridhar is a Princeton graduate and entrepreneur who believes that small & viable businesses can scale & become highly profitable WITHOUT venture capital. Chasing customer satisfaction is more fruitful than chasing investors. Sridhar & Zoho PROVED it.

Being the CEO of a multi-billion-dollar company isn't what makes this story intriguing. It's his vision that got him from a remote village in India to the leader of a global technology company. Let's dive in 📌

It all started back in 1996 when Sridhar's brothers, Kumar & Shekhar, along with a friend Tony Thomas, created a company called AdventNet, which was a network management company. They built a good technology business but were failing at sales.

Sridhar was in the US at that time & was not actively involved in the business, but his brothers asked him to join and lead their sales function. He printed business cards,

gave himself the title of VP of Marketing & Business Development, and got to work.

Sridhar began signing up major firms in the US as clients but at terrible margins. The reason? Self admittedly, he wasn't a great salesman. Some clients told Sridhar that they would have paid him 10X more for their software.

Regardless, they continued forward, reinvesting their revenues in a new product called Web NMS, an IoT platform, rather than pay themselves salaries. In 1998, they crossed \$1M in revenue and were finally able to pay themselves and hire a sales team. Things were looking up.

In 1999, three major events transpired: 1. Zoho crossed \$10M in revenue 2. Sridhar became CEO 3. They declined a VC investment offer of \$10M at a \$140M valuation They were kicking ass. UNTIL...

The dot-com bubble burst in 2000 causing thousands of companies to go bankrupt and were unable to pay their bills. In the midst of all the chaos, Zoho had 3 distinct advantages: 1. Cash in the bank 2. No investors 3. Low operating costs (most of their employees were in India)

They leveraged these three advantages to launch a new product, ManageEngine — an IT management software — in 2002. But there was CHAOS brewing at the Zoho executive level...

As a result of the difference in opinion regarding the company strategy, Sridhar's brothers Kumar, & Shekhar, & their friend, Tony left the company. That decision would cost them BILLIONS. Sridhar was the only executive left & said it was the most depressing time of his career.

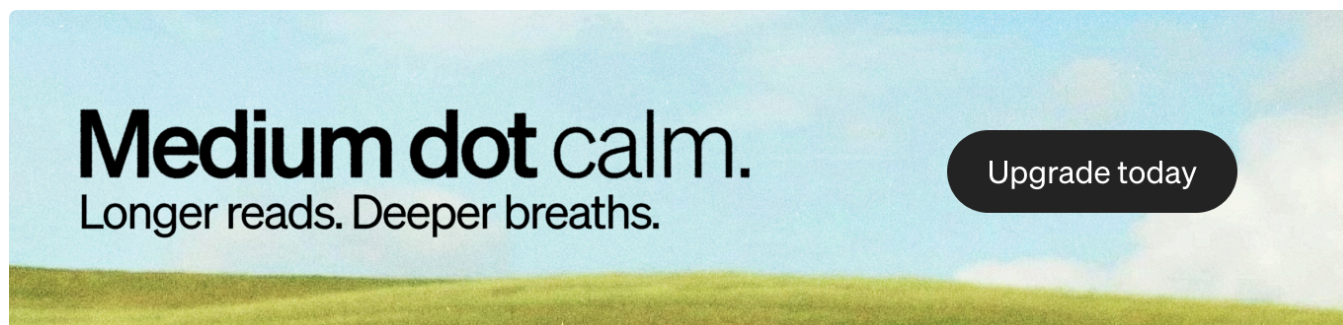
Sridhar fought through, surviving the dotcom crisis, and decided to launch a new division. This division would ultimately make them a global leader. The CLOUD division launched in 2005, called Zoho.

Sridhar and Zoho began developing a whole suite of business software — word processors, spreadsheets, and CRM, among other tools. They continued adding more and more, but their biggest hit came with the launch of a project management SaaS that grew rapidly.

With an aggressive approach to creating more and more business applications, they reached 1 million users in 2008. At that time, they decided to go all-in on cloud

software, changing the name from AdventNet to Zoho Corporation.

But as they scaled, Sridhar and Zoho found themselves with another big problem. There was not enough quality engineering talent in India. Their cash-efficient, low-cost model would FALL APART if they had to hire engineering talent in the U.S.



So they launched Zoho University, a 100% FREE university targeting young, hungry, folks from rural India. Students would be trained in 24 months in English, Mathematics & Computer Science. ALL FOR FREE.

Zoho University solved Sridhar's talent problem while enabling thousands of people from RURAL INDIA to launch into technology careers. Abdul Alim is one such example, he went from a security guard to a software engineer, all thanks to Zoho University.

During the course of this program, the students are not charged anything but instead, they are given a basic stipend per month. Once they complete the program, they are hired by Zoho. Today, Zoho has 10,000+ employees & the majority of them come from this program. Brilliant!

Zoho has gone on to launch 35+ business apps like Zoho Mail, Zoho CRM, and Zoho WorkDrive. Despite the current economy, they recently crossed a BIG milestone. \$1B in revenue. A 77% increase in annual revenue from 2020 (!!)

More impressively, they operate Zoho, a billion-dollar technology empire, from a REMOTE VILLAGE in India, 300 miles away from the nearest city. He believes that village offices are the FUTURE OF WORK. Why?

In rural villages, you can take hard-working and hungry talent and quickly upskill them. It's a win-win. They achieve an incredible life and financial security. The business can operate with LOWER COSTS than its peers in Silicon Valley or other major metropolitans.

Sridhar shows us that you don't need to be in Silicon Valley or raise BILLIONS of dollars of funding to create a successful technology business. Sridhar recently said, "Taking somebody's money and promising someone what they want to hear looks like a gamble to me."

Sridhar is an inspiration for all entrepreneurs. You can DO it. Anyone can DO it. It just takes GRIT and RELENTLESSNESS. Most won't be willing. But if you are, you'll be amazed at what can happen.

Key Points:

Founding and Early Years: Zoho started as a network management solutions provider, but the turning point came when Sridhar Vembu and his team decided to build their suite of online office applications. In 2005, they launched Zoho Office, which included word processing, spreadsheet, and presentation software. This move marked the company's pivot towards cloud-based applications.

Diverse Product Portfolio: Over the years, Zoho expanded its product offerings to cover a wide range of business applications. From customer relationship management (CRM) to project management, human resources, finance, and more, Zoho's integrated suite caters to the diverse needs of businesses.

Subscription-Based Model: Zoho embraced the Software as a Service (SaaS) model, offering its applications on a subscription basis. This made high-quality business software accessible and affordable, particularly for small and medium-sized enterprises (SMEs).

Global Reach: While rooted in India, Zoho has a strong global presence. Its products are used by businesses around the world, and the company has offices in multiple countries. This global reach has contributed to Zoho's success and profitability.

Focus on Privacy and Security: Zoho distinguishes itself with a strong commitment to user privacy and data security. Unlike some tech giants, Zoho does not rely on ad-based revenue models and, as a result, has been able to maintain a focus on user confidentiality.

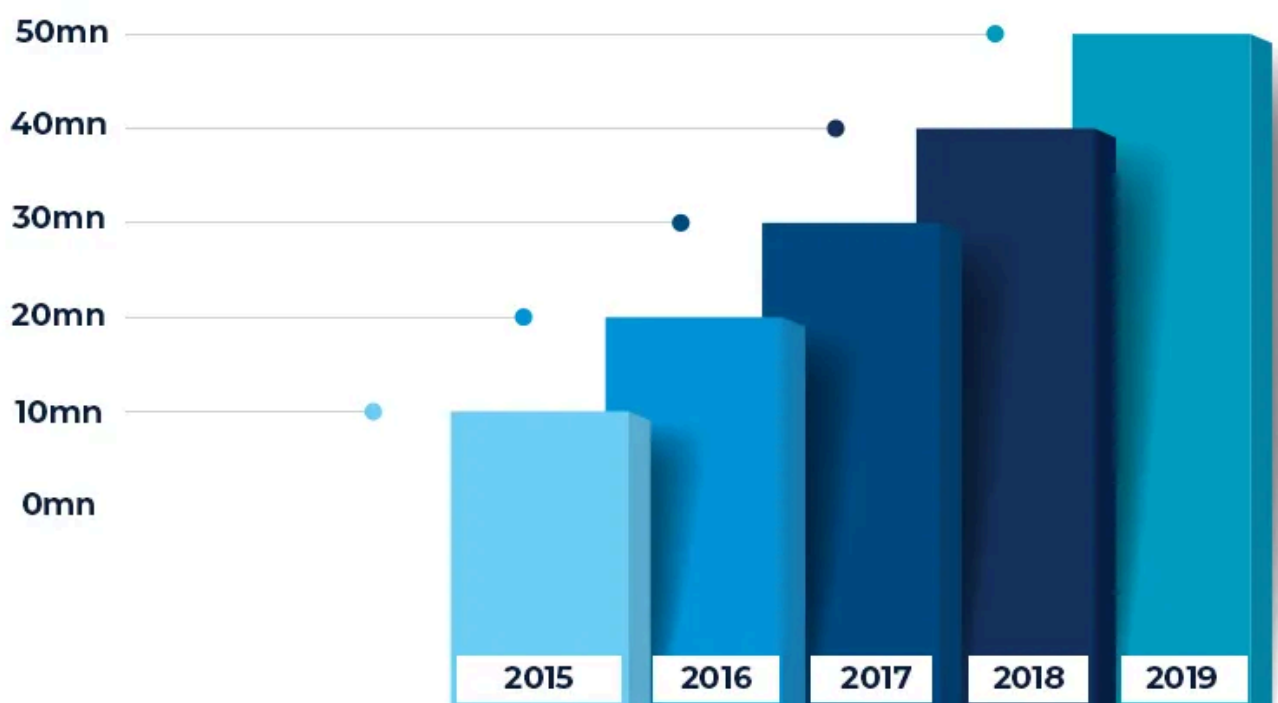
Education and Rural Development Initiatives: Beyond its business endeavors, Zoho, under Sridhar Vembu's leadership, has undertaken initiatives for rural development and education. Projects like Zoho Schools of Learning aim to provide education and

employment opportunities in rural areas, reflecting a commitment to social responsibility.

Zoho's Culture: Zoho is known for its unique company culture. It emphasizes a flat organizational structure, where employees have the opportunity to work on diverse projects. The company's bootstrapped approach (not relying on external funding) has allowed it to maintain control over its direction and values.

Growth and Revenue of Zoho

Zoho User's Growth



Key learnings from the Zoho story

Sridhar Vembu's influence extends beyond Zoho, making him a notable figure in both the business and tech communities. His commitment to innovation, ethical business practices, and social impact has left a lasting mark on the technology landscape.

If we summarize the whole article, it is rightly said that everyone learns from their own journey more than any advice, suggestion, or anyone's opinion. Your life is your best teacher which turns out to be true in the case of businesses as well and it would not be wrong if we say that your business is your best teacher in the corporate world. It is not always true that if your career includes the involvement of big business schools, only then you prove your worth in your business, as long as you

know and understand how to practice business in the real world, you can always come up as a winner!

We should also keep in mind that keeping customers' needs in mind while expanding the business should be of utmost priority and keeping a firm belief in your employee's talents should also be an important part of your business rules. It is therefore recommended to be consistent in your business, believe in what you started and why you started, have a clear vision throughout your journey, and be confident. You will definitely shine as bright as a star because no efforts that have true intentions and excellent execution have ever gone into vain.

[Follow](#)

Written by Tanya Agarwal

257 followers · 3 following

Talks about Data Engineering Concepts, Machine Learning, SQL, Python, Deep Learning, AI, Maths, Data Analytics, Business Case Studies

Responses (1)



Abhishek Agrahari

What are your thoughts?



Tariq Sulaiman
Dec 5, 2025



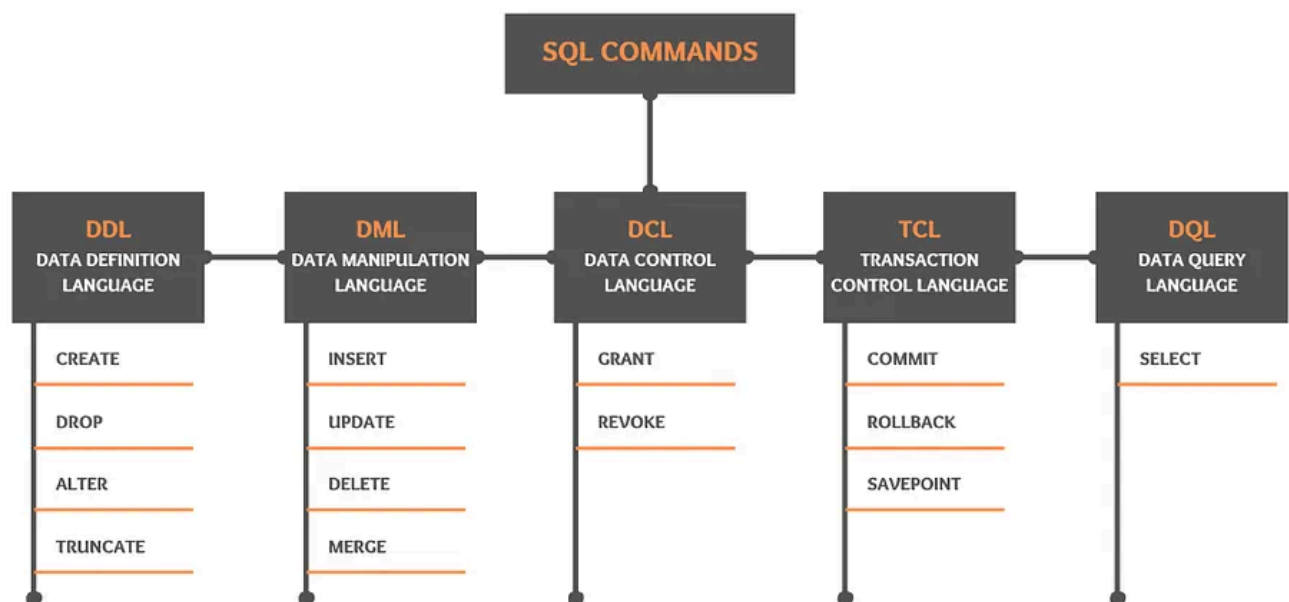
I think that Zoho's story is a worth telling one. The concept it has been created upon is ideal in the broad view of human believes. Howeve, the advantages were available in India were the success milestone according to the article.

So the question... [more](#)



[Reply](#)

More from Tanya Agarwal



 Tanya Agarwal · Jan 31, 2024

Most asked SQL Interview Questions

[PART 1] → [Beginner — Intermediate]

 667  5



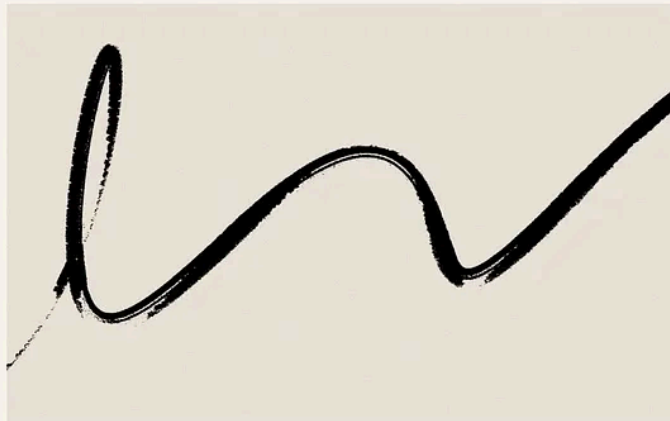


 Tanya Agarwal · Jan 8, 2024

BYJU'S Business case Study

Byju's was an inspiration that spurred the entire Indian ed-tech Industry,, But India's biggest Unicorn is struggling to stay afloat today...

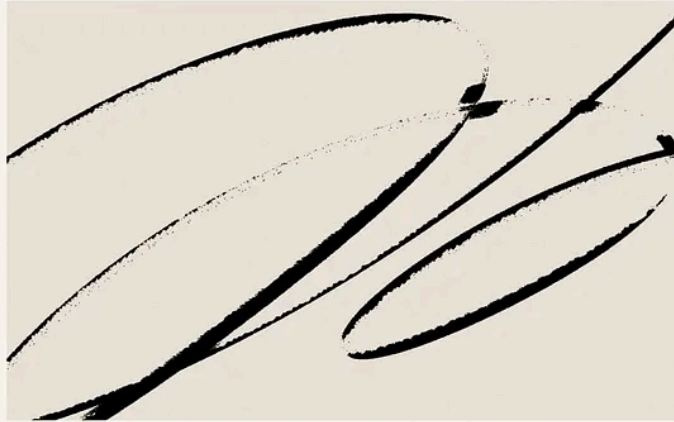
 18



 Tanya Agarwal · May 25

8 Interview Questions That Catch People Off Guard

Open in app 



 Tanya Agarwal · Jan 17

Most Asked Snowflake Concepts In Interviews

If you're preparing for data engineering interviews or starting your journey with Snowflake, six concepts come up again and again:

 1



See all from Tanya Agarwal

